GIA Strategy FY2025-26

RAKBANK

Due Date	14 Aug 2025, 23:59 GST	
Notes for Approvers	Dear Respected Board Audit Committee (BAC) Members, Please find enclosed the updated Group Internal Audit Strategy for FY 2025-26, incorporating enhancements discussed in the BAC meeting held on 21 July 2025, for the review and approval of the BAC Members. We welcome any further comments or feedback the Committee may wish to provide as part of this review.	
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Documents for Approval

1. GIA Strategy FY 2025-26

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RAKBANK

GROUP INTERNAL AUDIT STRATEGY (2025-2026)

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Reviewed by	VP & Head of Retail Banking Audit
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Input Sought From	Group Chief Executive Officer
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1. Introduction

This document outlines Group Internal Audit's (GIA) ambitions for the 2025-2026 period. It positions GIA as a key enabler of risk intelligence, organizational resilience, and control discipline in a dynamic environment. The plan is designed to enhance the function's risk responsiveness, audit quality, data-enabled capabilities, and strategic alignment, ensuring assurance remains relevant and forward-looking.

2. Strategic Context and Alignment

RAKBANK's Group Strategy runs through the end of 2026, focusing on customer-centric growth, operational productivity, and digital excellence.

In line with this, GIA will support enterprise transformation by embedding forward-looking assurance practices, enhancing audit responsiveness, and improving coverage of emerging risks.

A summarized SWOT analysis has been included below to provide a contextual snapshot of GIA's current position and strategic direction, underpinning the rationale for the strategic priorities outlined in the following section (**Annexure A**)

GIA's strategy directly aligns with Principle 9.2 of the Global Internal Audit Standards, which requires a clear vision and strategy linked to organizational objectives.

3. Vision, Mission and Guiding Principles

Vision:

To be a strategic partner that delivers impactful assurance and insight, enabling risk-aware decision-making.

Mission:

Deliver risk-based, high-quality assurance and advisory services that strengthen governance, risk management, and control effectiveness across the Group.

Guiding Principles:

- Independence and objectivity
- Professional competence
- Constructive engagement
- Integrity in execution
- Commitment to continuous improvement

4. Strategic Pillars and Objectives

This section outlines the core focus areas that continue to drive GIA's evolution:

Strategic Pillar	Objective
Risk-Based Assurance	Prioritize audits based on risk, materiality, and strategic relevance, including thematic areas such as AML/CFT, collateral valuation, outsourcing, and model risk. GIA will also continue to deliver value through advisory engagements and mandated validations (e.g., CBUAE action plan reviews).

Strategic Pillar	Objective
Digital Enablement*	Leverage Artificial Intelligence, and data analytics to provide deeper audit insights.
Capability Development	Build technical depth in emerging audit areas such as Artificial Intelligence (AI) & Machine Learning (ML), Cybersecurity, Cloud Computing, Third Party Risk, Data Privacy & Governance, Environmental, Social & Governance (ESG), Blockchain and Digital Assets.
Stakeholder Engagement	Strengthen communication and relationships with Executive Management and Board.
Quality & Standards	Align to the Global Internal Audit Standards, relevant CBUAE Regulations and pursue continuous improvement.

To enable successful delivery of strategic objectives related to digital enablement and emerging risk assurance, key technology-related investment estimates are provided in **Annexure B*

GIA's ambition includes building internal "risk sensing" capabilities, connecting thematic issues across audits and contributing early to risk conversations.

These five strategic pillars are further elaborated in the sections that follow, with each pillar linked to specific initiatives, delivery models, and supporting KPIs outlined in **Annexure C** to guide internal performance tracking and governance reporting.

5. Operating Model and Audit Cycle

GIA operates on a rolling three-year risk-based audit cycle, refreshed annually to align with the Group's dynamic risk profile, strategic priorities, and regulatory obligations. The audit universe, currently comprising 103 auditable entities (as of FY2025), is assessed using structured residual risk criteria supported by business input and management dialogue. Furthermore, Additionally, CBUAE and other Regulatory mandated audits (e.g. Credit Risk Management Standards (CRMS), EIBOR, Stress Test, ICAAP & Pillar 3, etc) are embedded in GIA's audit plan and assurance priorities.

Audit prioritization is based on a composite of factors, including financial materiality, compliance sensitivity, previous audit outcomes, emerging risks (e.g., Environmental, Social & Governance (ESG), cybersecurity), and alignment to internal transformation programs. Entities with higher risk profiles are reviewed more frequently under a 1+2 year prioritization model, ensuring balanced assurance across financial, operational, technology, and regulatory domains.

GIA's planning approach incorporates input from Executive Management, second-line functions, and board feedback. Strategic initiatives including digitization, platform shifts, and regulatory induced changes are considered during Audit Plan development. All plans are formally agreed with Executive Management and submitted for approval to the Board Audit Committee.

In addition to assurance engagements, GIA also undertakes regulatory validation reviews (e.g. CBUAE-mandated action plan reviews) and provides advisory input on control enhancements and transformation initiatives where requested by the Board and/ Executive Management.

6. Technology and Data Analytics Strategy

GIA is progressively shifting toward a data-driven audit model. In 2024, a dedicated **Data Analytics unit** was established to enhance continuous monitoring, thematic analysis, and real-time assurance. Dashboards are already in place to support risk assessment and streamline issue tracking, with further expansion planned to cover entity-level risk indicators and control effectiveness metrics.

To support integration and automation, GIA is optimizing current usage of **TeamMate** and planning a transition to **Archer GRC** once implementation concludes in the second line. Budgetary discussions are planned for Q3 2025, with implementation targeted for Q1 2026. Archer will improve workflow integration, centralize issue tracking, and support a consolidated audit risk register.

In parallel, GIA is exploring responsible use of **AI agents** to assist in anomaly detection, control testing, and targeted analytics. These efforts are being coordinated with the Bank's AI Lab and second line teams to ensure responsible, secure deployment aligned with regulatory expectations. Initial Artificial Intelligence (AI) use cases are being piloted in collaboration with external vendors, with oversight by internal auditors to maintain professional judgment and accuracy.

GIA's **collaboration with the second line of defence** is also being enhanced to enable proactive insight sharing and inform risk-based planning. This approach will be supported by structured feedback loops, interactive dashboards, and alignment on emerging risk themes.

Further advancement of offshore analytics capabilities will be considered once internal data governance, secure access, and analytical maturity reach appropriate thresholds.

7. People and Capability Development

To deliver on an increasingly complex audit mandate, GIA is strengthening its technical and behavioural capabilities. Over the past year, the department has undergone a phase of team evolution, creating an opportunity to recalibrate skill sets and structure.

Key initiatives include:

- Targeted training in high-demand areas such as Artificial Intelligence/Machine Learning, Cybersecurity, Anti-Money Laundering (AML)/ Countering the Financing of Terrorism (CFT), ESG, and Climate Risk
- Structured hiring plans to address identified capability gaps by end-2025
- Launch of the Guest Auditor Program to foster cross-functional learning
- Co-sourcing arrangements in areas requiring niche expertise (e.g., model risk, blockchain & digital assets)
- Knowledge-sharing forums, townhalls, and internal masterclasses
- Support for professional certifications and leadership development pathways

GIA is also actively supporting the Bank's Emiratization strategy. This includes onboarding and mentoring UAE nationals, both at entry-level (Ethraa Program) and experienced auditor levels, with tailored development plans and exposure across key audit domains.

Staff projections will be prepared in line with the Bank's manpower projections, Executive Management feedback and Board agreement, dependant on Group's growth, pace of digitalization, Emiratization requirements, and the talent skill sets required by GIA.

In line with the Organization Strategic direction, overall headcount should plateau in FY'26 and start to reduce in FY'27 and any data analytical roles to be right-shored to minimize cost. These efforts position GIA to operate as a specialized, adaptive, and future-ready assurance function.

8. Stakeholder and Relationship Management

Transparent and timely communication is essential for audit effectiveness. GIA will:

- Enhance reporting to the Board Audit Committee (BAC) with thematic insights and trend analysis to provide deeper context, highlight emerging risks, and support strategic decision-making
- Maintain structured feedback loops with senior management
- Encourage management participation in select audit planning sessions
- Track and report stakeholder satisfaction metrics

These efforts aim to position GIA as a trusted business partner and an effective oversight function.

9. Commitment to Delivery

GIA's Strategy will be reviewed on an annual basis and refreshed once the Group Strategy is updated to ensure continued alignment. Progress will be monitored internally through GIA governance forums and reported periodically to the Board Audit Committee.

Delivery against this strategy will be measured through a dual-lens approach:

- **Capability-based evaluation** using the GIA Maturity Model (see Section 10), which enables structured assessment of progress across core areas such as analytics adoption, technology enablement, stakeholder trust, talent depth and assurance delivery.
- **Strategic Key Performance Indicators (KPI)** that monitor key outcomes aligned to GIA's mission and strategic pillars, covering both delivery performance and outcome effectiveness. These indicators will be tracked periodically and serve as directional benchmarks for performance. Delivery will be measured both qualitatively via the Internal Audit Maturity Model and quantitatively through a suite of KPIs **(Annexure C)**, to ensure accountability and transparency.

*Select measures from the bank-wide GIA Balanced Scorecard have also been embedded within **Annexure C**, ensuring alignment with Executive Management expectations and broader institutional priorities. This balanced approach ensures that GIA maintains both operational discipline and long-term strategic alignment.*

10. GIA Maturity Outlook

GIA's strategic roadmap is supported by a multi-dimensional maturity model, which provides a structured view of capability uplift across five critical domains. This model complements the KPI framework referenced in Section 9 by enabling a more holistic evaluation of strategic progress, capturing both output measures (KPIs) and capability evolution (maturity levels).

The table below outlines GIA's current and target maturity across these dimensions. These markers reflect practical maturity and not just systems rollout, but actual embedded usage across the function. Target maturity levels across all domains are aimed for FY'26, subject to executive prioritization and operational feasibility.

GIA Maturity Model - As of July 2025

Dimension	Foundational	Transitional	Mature (Target by FY'26)
Analytics Use/ Continuous Monitoring	Manual sampling and Excel-based checks	🔵 Dashboards under rollout; thematic insights	Predictive analytics and anomaly detection* (aspirational; AI elements under pilot)
Technology Integration	🔵 TeamMate and basic documentation tools	Archer GRC migration planned, Real time data feeds	Fully integrated with second line infrastructure
Stakeholder Engagement	Periodic updates and static reporting	🔵 Interactive dashboards and structured feedback loops	Proactive insight sharing and collaborative risk planning**
Talent & Skills	Generalist auditor base	🔵 Domain specialists; co-sourcing capabilities	Advanced certifications and niche specialization
Assurance Delivery	Retrospective audits only	🔵 Thematic and cross-cutting assurance	Forward-looking, real-time risk assurance
Progress against the maturity model will be tracked using select KPIs outlined in Annexure B, covering analytics, technology usage, stakeholder feedback, certification levels, and assurance coverage. Transitional maturity is considered complete once the defined capabilities for that stage are sustainably adopted and evidenced through recurring use and measurable outcomes.			

🔵 *represents current GIA Maturity Level as of July 2025*

Supporting Notes on Strategic Maturity Trajectory

- ***Predictive Analytics and AI Adoption:** GIA acknowledges that full-scale AI/ML integration is a longer-term aspiration beyond the FY'26 horizon. Current efforts focus on targeted pilots in anomaly detection and trend analysis, in coordination with the Bank's AI Lab and select vendors. Use cases will be prioritized based on business value, data maturity, and governed under established oversight protocols.
- ****Proactive Insight Sharing & Collaborative Risk Planning:** GIA is working in tandem with the second line to enhance the use of dashboards and thematic insights. This includes participation in cross-functional working groups and structured forums to jointly define risk themes and audit priorities, particularly for emerging and high-risk domains. Formal rollout is planned in phased waves with full implementation of the GRC tool.
- **Maturity Model Evolution:** The maturity model will be reviewed annually alongside the strategic refresh to reflect actual shifts in capability maturity, technology enablement, and audit delivery. Some domains may accelerate faster (e.g. talent and analytics), while others will require continued investment in foundational maturity (e.g. full integration of risk systems, real-time risk assurance).

11. Strategic Outlook & Execution Considerations

The 2025–2026 Group Internal Audit strategy outlines a focused direction anchored in risk-based assurance, digital enablement, and talent development. Its successful delivery depends on sustained executive sponsorship, stronger integration with enterprise risk functions, and continued investment in people, technology, and data capabilities.

Execution will be tracked through an annual review cycle leveraging both capability maturity model and selected KPIs. This will ensure GIA remains agile and aligned with the bank's evolving risk landscape. A formal refresh of the strategy is planned following the next Group Strategy update to maintain alignment with broader institutional goals.

12. Annexures

Annexure A - SWOT Analysis: Group Internal Audit Strategy 2025–2026

The following SWOT analysis outlines key internal and external factors influencing the successful delivery of GIA's strategic objectives. It reflects a structured assessment of current capabilities, areas for enhancement, and external considerations. This analysis supported the formulation of GIA's strategic pillars and informed resource allocation and planning decisions.

✅ **Strengths**	⚠️ **Weaknesses**
Strong executive sponsorship and GCAO visibility with Executive Management and Board	Limited bench strength in niche and emerging risk areas (e.g. AI, Climate Risk, Crypto)
Integration with Group Strategy and alignment with 2LOD initiatives (e.g. dashboards, thematic risk insights)	Delayed involvement in Key Strategic developments
Sound governance structure, QA framework, and adherence to IIA Standards and CBUAE regulations	Lagging maturity in analytics and real-time assurance (currently in early adoption and dependant on Bank's Data Platform readiness)
Collaborative working relationships with business, control functions, and second line	Difficulty in recruiting and retaining quality Internal Audit Resources
◆ **Opportunities**	▲ **Threats**
Archer GRC implementation to unify data and enhance audit lifecycle	Rising regulatory scrutiny and CBUAE expectations around timeliness, depth, and issue follow-up
Use of AI-based audit analytics and continuous risk monitoring	Talent competition from market and internal functions for skilled auditors with digital/tech expertise
Co-sourcing arrangements to plug niche, emerging risk areas and accelerate upskilling	Audit relevance risk if GIA is unable to evolve in pace with digital change and bank transformation
Bank-wide digital initiatives enabling better access and foresight on the risk landscape	Challenges and delayed maturity of Enterprise Data Quality

*****_This analysis reflects GIA's position as of July 2025 and will be revisited during the next strategy refresh._

Annexure B - Technology and Specialist Audit Enablement (Cost Estimates)

Initiative	Details
Archer GRC Audit Module	One-time implementation cost: **AED 362,000** Annual license: **AED 171,000**
Replacement of TeamMate+ AMC	Current annual cost: **AED 105,000** (will be replaced by Archer cost)
AI Enablement (Engineer Role) OR **Agentic AI** (Agents)	Monthly cost (if approved): **AED 20,000–25,000 (On/Off-shore TBD)**
	Estimated monthly cost (for 1–2 agents): **AED 20,000**, including cloud infra

Annexure C - Illustrative GIA Key Performance Indicator's

Strategic Pillar	KPI Category	Metric	Target	Frequency
Risk-Based Assurance	Coverage of Key Risks	% of strategic/high and medium-risk areas audited within cycle (3 year plan)	≥ 90%	Annual
	Audit Plan Execution	% of planned audits completed within cycle	≥ 80%	Quarterly
	Budget Adherence	% of audit fieldwork completed within budgeted hours	≥ 90%	Quarterly
	Cycle Time	Avg. days from fieldwork completion to report issuance	≤ 30 days	Quarterly
	CBUAE Finding Validation	% of CBUAE findings validated by GIA for closure within timelines	100% compliance	Quarterly
	Recommendations	% of audit findings agreed to by management	≥ 85%	Annual
	Issue Closure Timeliness	% of audit issues closed on time	≥ 85%	Quarterly
	Assurance Accuracy	% of material issues subsequently identified by external auditors or regulators in areas audited by GIA, but not previously raised by GIA	≤ 10%	Annual

Strategic Pillar	KPI Category	Metric	Target	Frequency
Digital Enablement	Analytics Utilization	% of audits supported by dashboards or analytics	Track as pilot in FY'25, baseline by FY'26	Annual
	AI Usage	% of audits leveraging AI tools or AI-based techniques		Annual
Capability Development	Training & Development	Continuing professional education requirements per auditor per year	100% mandatory + 2 domain related trainings	Annual
	Certifications	% of auditors with relevant certifications e.g. CIA/CISA	≥ 75%	Annual
Stakeholder Engagement	Stakeholder Satisfaction	Management feedback score on audit value	≥ 4.0 / 5	Per Audit/ Annual
	BAC Performance Assessment	Score from BAC on GIA performance	≥ 80% or "Effective"	Annual
	Policy Compliance	% conformance with Global Internal Audit Standards	100%	Annual
	QA Results	% of audit files rated as "Conforms" in QA reviews	≥ 90%	Annual
	Peer Review Score	Outcome of external assessments (every 5 years)	Conforms to IIA Standards	Every 5 years

Note: These KPIs represent the current GIA baseline for strategic performance tracking and will serve as a reference point for internal benchmarking and improvement over the 2025–2026 strategy cycle.